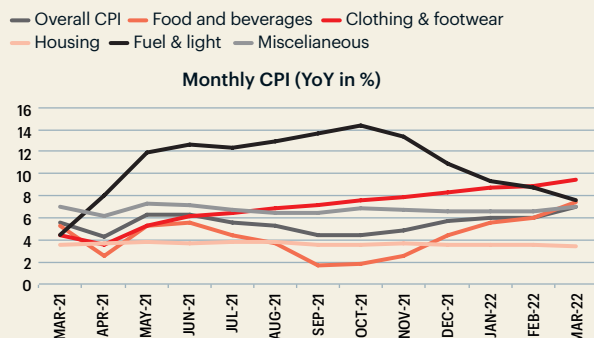
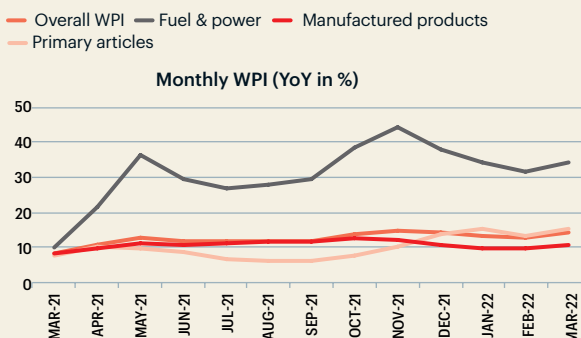


ALL RISING

ALL MAJOR COMPONENTS OF CONSUMER PRICE INFLATION INDEX ARE RISING, EXCEPT FUEL, WHICH IS ODD BECAUSE FUEL PRICES ARE ALSO RISING

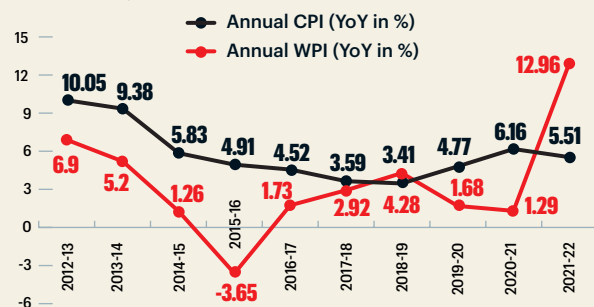


BUT IN WHOLESALE PRICE INFLATION, EVEN FUEL IS SHOOTING UP, ALONG WITH ALL OTHER COMPONENTS



ANNUAL INFLATION VIEW

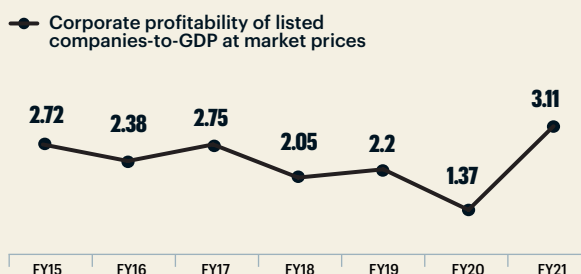
WHILE OVERALL CPI HAS HALVED OVER A 10-YEAR PERIOD, WPI HAS NEARLY DOUBLED



Source: CMIE Economic Outlook

PROFITABILITY RISING

DESPITE HIGHER INFLATION, LISTED FIRMS HAVE SEEN INCREASED PROFITABILITY DUE TO LOWER COSTS DURING THE PANDEMIC



GRAPHICS BY RAJ VERMA

revenue expenditure in the Union Budget 2022-23, which is expected to rise as a result of rising inflation. And capital expenditure, which has been substantially increased to ₹7.5 lakh crore in the Budget, will also get impacted and may overshoot the Budget estimate. "The government incurs expenditures on infrastructure creation in the form of capital expenditure," says Garg. "If inflation goes up, then the cost of steel, cement and other inputs goes up, and therefore capital expenditure also goes up."

MADAN SABNAVIS, Chief Economist at Bank of Baroda, believes that inflation will have two kinds of impact on the budgeted numbers this year. One, with high inflation, nominal GDP growth would also tend to be higher, which would support the Budget in terms of the statistical ratios. And two, there will be a downward bias on the fiscal deficit and the revenue deficit, as they are calculated as a percentage of GDP. "The major pain point for

the government is subsidy. The government is quite aggressive when it comes to subsidies on fertilisers. Now, because of inflation, the government will have to spend more on fertiliser subsidy allocations, because natural gas prices have gone up internationally, and imports are also going to become more expensive," says Sabnavis. Aditi Nayar, Chief Economist at ICRA, also expects the fertiliser subsidy to be substantially enhanced over the budgeted level. The government allocated ₹1,05,222.32 crore for fertiliser subsidy in this year's Budget.

But, what about the debt-to-GDP ratio? Sen says, with rising inflation, nominal GDP goes up, whereas debt-to-GDP ratio remains lower. N.R. Bhanumurthy, Vice Chancellor of B.R. Ambedkar School of Economics University, says that public debt-to-GDP ratio depends on the quality of expenditure. "What the government has done since the past two years is that they're reducing the revenue deficit component and increasing the capital expenditure component. So, by that mechanism, the public debt-to-GDP ratio should come down by 2025-26."